TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

AAP (InDaily); ABC News
Thursday 12 November 2026

Budget tax changes push investors out of the housing market

> Investor home loans fell by almost a third in the first full quarter after the May budget's tax changes, shifting the market towards owner-occupiers and first home buyers.

WHAT HAPPENED

- The number of new **investor loans fell 30.6%** to 35,301 in the September quarter; their value fell 32.3%.
- Owner-occupiers' **share of new home loans** rose to **68%**, up from 59% before the May budget.
- Housing Minister Clare O'Neil credited the budget's changes to **investor tax incentives**.
- The ABS says **higher borrowing costs** and expectations of lower prices also played a part.
- Brisbane's median dwelling value fell **2% in October**, the steepest fall in the country.

−30.6%
Number of new investor loans

35,301
Investor loans in the Sep quarter

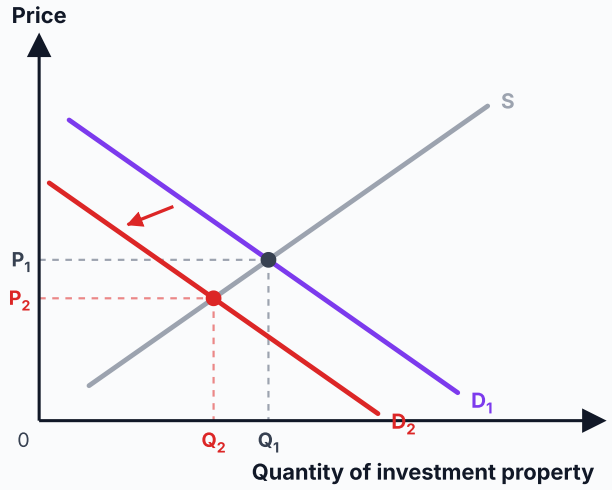
59% → 68%
Owner-occupier share of new loans

−2%
Brisbane dwelling values, October

Fiscal policy: the use of government spending and taxation to influence the economy.
Housing affordability: how easily households can buy or rent a home relative to their income.

DIAGRAM

Smaller tax concessions reduce investor demand



Reducing tax concessions lowers investors' **after-tax return**, so demand for investment property falls from **D_1 to D_2**.

Price falls from **P_1 to P_2** and the quantity traded falls from **Q_1 to Q_2**. This improves affordability for buyers, as more of the market goes to owner-occupiers.

Exam angle: Limitation: if fewer investors buy, fewer homes may be offered for rent, which could push **rents** up. Tax changes shift demand; lasting affordability also needs more housing **supply**.

BAR CHART

Owner-occupiers' share of new home loans



The policy has changed **who** is borrowing: owner-occupiers and first home buyers now make up a larger share of a shrinking market.

SYLLABUS LINK
Topic 4 – Fiscal policy (taxation) and microeconomic reform in the housing market; effectiveness and limitations of policy.

TRY THIS
Evaluate the use of tax policy to improve housing affordability in Australia. **(6 MARKS)**

Sources — AAP/InDaily, 'Tax changes spur record fall in investor home loans': indailyqld.com.au/news/just-in/2026/11/11/tax-changes-spur-record-fall-in-investor-home-loans · ABC News: abc.net.au/news/2026-11-11/plunge-in-new-home-loans-result-of-property-investors/107373668

Figures as reported; diagrams are illustrative, not to scale.